

22. **Valid deeds.** — If the settlor was *solvent* at the time (*j*), or was indebted only in the ordinary course as for current expenses which he had the means of paying (*k*), or not substantially indebted (*l*), or in a sum of considerable amount but adequately secured by mortgage (*m*), or which the settlor's other property was amply sufficient to meet (*n*), and the settlement was *bonâ fide*, the deed cannot be impeached. The indebtedness of the party at the time is only one circumstance of evidence upon the question of *fraud*, and under all the circumstances the Court may see that no fraud was intended or can be presumed (*o*). On the other hand though the settlor was perfectly solvent at the time, yet if he executed the settlement with a view of withdrawing the bulk of his property from the reach of his creditors in the event of insolvency, which is in his contemplation, as when a person about to embark in a hazardous business [*79] *makes a settlement on his wife and family to guard against the consequences, the settlement is void (*a*).

23. **What creditors can set aside the deed.** — If it can be proved that the settlor contemplated, in fact, a fraud upon *subsequent* creditors, the deed can no doubt be set aside at their instance, though the settlor was not indebted at the date of the deed, or the debts which did exist have since been paid (*b*). But where fraud is merely *presumed* from

man v. Corbett, 1 J. & H. 410; Hol-
lamby v. Oldrieve, W. N. 1866, p. 94;
and see Harman v. Richards, 10 Hare,
81; Holmes v. Penney, 3 K. & J. 90.

(*j*) Lush v. Wilkinson, 4 Vet. 384;
Battersby v. Farrington, 1 Swans. 106;
Kent v. Riley, 14 L. R. Eq. 190;
Middlecome v. Marlow, 2 Atk. 519;
Townshend v. Windham, 2 Ves. 11,
per Lord Hardwicke; Russel v. Ham-
mond, 1 Atk. 15; Walker v. Burrows,
1 Atk. 94; and see Martyn v. Macna-
mara, 2 Conn. & Laws. 554.

(*k*) Skarf v. Soulby, 1 Mac. & G.
375, per Cur.; Lush v. Wilkinson, 5
Ves. 387, per Cur.

(*l*) Graham v. O'Keefe, 16 Ir. Ch.
Rep. 1.

(*m*) Stephens v. Olive, 2 B. C. C.
90; and see Skarf v. Soulby, 1 Mac.
& G. 375.

(*n*) Kent v. Riley, 14 L. R. Eq. 190.

(*o*) Richardson v. Smallwood, Ja-
cob, 556; [*Re* Johnson, 20 Ch. D.
389; affirmed *nom.* Golden v. Gillam,
51 L. J. N. S. Ch. 503.]

(*a*) Mackay v. Douglass, 14 L. R.
Eq. 106; [*Ex parte* Russell, 19 Ch. D.
588; *Re* Ridler, 22 Ch. D. 74.]

(*b*) Barling v. Bishopp, 29 Beav.
417; Jenkyn v. Vaughan, 3 Drew.
426; Richardson v. Smallwood, Jac.
556; Tarbuck v. Marbury, 2 Vern.
510; Hungerford v. Earle, Ib. 261;
Spirett v. Willows, 3 De G. J. & S.
303; Ware v. Gardner, 7 L. R. Eq.